

Case Number: NAIH-1336-12/2023.

Background: NAIH-3772/2022. Subject: Decision and Order

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] based on the application submitted by the applicant (hereinafter: Applicant) on April 13, 2022, regarding the unlawful storage of personal data and the violation of the principle of data minimization, initiated a data protection authority procedure against [...] (hereinafter: Respondent) - in which the Authority involved [...] (hereinafter: Client) as a party - makes the following decisions:

I. 1. The Authority partially grants the Applicant's request in its decision and

I.2.1. establishes that the Respondent and the Client violated

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Article 12(1) of Regulation (EU) 2016/679 (hereinafter: GDPR or General Data Protection Regulation), which concerns the protection of natural persons with regard to the processing of personal data and the free movement of such data, as well as the repeal of Directive 95/46/EC, since they did not provide adequate prior information to the Applicant, and

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Article 5(1)(c) of the GDPR regarding the processing of the Applicant's citizenship, document identification number, email address, and phone number, and furthermore

I.2.2. establishes that the Respondent violated Article 5(2) of the GDPR, as they did not properly justify the primacy of the legitimate interest in processing the Applicant's personal data through appropriate balancing of interests, and furthermore

I.3. obliges the Respondent to confirm within 15 days from the finality of this decision that they have deleted the Applicant's personal data from the claims management registry in light of the final judgment number [...] of the [...] District Court, and that they will only process such data in connection with this data protection authority procedure.

II. The Authority rejects the Applicant's request in its decision to establish the illegality of the Respondent's data processing concerning the Applicant's name, mother's name, address, place and date of birth - for the period prior to the final judgment number [...] of the [...] District Court.

III. The Authority grants the Client's request regarding the treatment of the franchise agreement as a business secret in its order.

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There is no administrative remedy against this decision and order, but it can be challenged in an administrative lawsuit within 30 days from the communication, by submitting a statement of claim addressed

to the Metropolitan Court. The statement of claim must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A request for a hearing must be indicated in the statement of claim. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the subject matter is subject to fee exemption. Legal representation is mandatory in the proceedings before the Metropolitan Court.

The Authority draws the attention of the Respondent and the Client to the fact that until the expiration of the deadline for initiating a lawsuit against the decision or until the court's final decision in the case of an administrative lawsuit, the disputed data related to the data processing cannot be deleted or destroyed.

REASONING

I. Procedure Progress

(1) At the request of the Applicant, a data protection authority procedure was initiated on April 14, 2022,

based on Section 60(1) of Act CXII of 2011 on the Right to Informational Self-Determination and on Freedom of Information (hereinafter: Infotv.), after fulfilling the requirements stated in the call for supplementation.

(2) The Authority invited the Respondent to provide a statement in its order to clarify the facts, referring to Section 63 of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.), to which the Respondent's response arrived at the Authority within the deadline.

(3) The Authority granted the Client party status based on Section 10(1) of the Ákr., which was communicated to both the Applicant and the Respondent, and the Client was invited to provide a statement twice for the purpose of clarifying the facts.

(4) The Authority notified the Applicant, the Respondent, and the Client that the evidentiary procedure had been completed and drew their attention to the fact that they could make a statement or comment. In response, none of the notified parties exercised their right to inspect the documents, and both the Client and the Applicant made statements, after which the Authority invited the Respondent to substantiate its claims, which the Respondent complied with.

II. Clarification of Facts

II.1. The Applicant's request and supplementation statements (NAIH-3772-1/2022., NAIH-3772-3/2022., NAIH-3772-5/2022.)

(5) In the request submitted to the Authority on March 16, 2022, the Applicant requested that the Authority investigate the Respondent's data processing and establish that the Respondent did not provide adequate prior information to the Applicant regarding the data processing, the identity of the data controller, and also obligate the Respondent to comply with the principle of data minimization and to delete

unnecessary
data.

1 The form for initiating an administrative lawsuit is the NAIH_KO1 form: NAIH KO1 form (2019.09.16)
The
form can be filled out using the general form filling program (ÁNYK program).
<https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>
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The Applicant attached the following documents in copy to the application:

- the "viewing certificate" signed by the Applicant on June 5, 2020,
- a deletion request dated September 1, 2021, sent to [...],
- a letter dated September 30, 2021, addressed to the Applicant from [...].

(6) The Applicant stated that they viewed a property through the mediation of the Respondent and, at the request of the real estate agent, signed a viewing certificate. Although the document contained the data processing information, the Applicant believes that it does not comply with Article 7(2) of the GDPR, which states that if the data subject gives consent in the context of a written declaration that also concerns other matters, the request for consent must be presented in a manner clearly distinguishable from those other matters, in an understandable and easily accessible form, using clear and plain language. The data processing information was presented in particularly small font size with little line spacing.

(7) According to the Applicant, in addition to the above, the Respondent violated Article 13(a) of the GDPR, which states that the data controller shall provide the data subject with the identity and contact details of the data controller and, if applicable, the representative of the data controller at the time of obtaining personal data. The Applicant asserts that despite this provision of the GDPR, the name of the Respondent does not appear anywhere on the document, except for a very blurred and unreadable seal.

(8) The Applicant submitted a deletion request to the Respondent, to which the Respondent's legal representative responded on September 30, 2021, informing that the request would be rejected, as the personal data could not be deleted due to data processing for the purpose of enforcing a claim. According to the Applicant, this constitutes a violation of "Article 5(c) of the GDPR," that is, the principle of data minimization, as the Respondent retains the following personal data of the Applicant:

- name,
- mother's name,
- nationality,
- address,
- identification document number,
- phone number,
- email address,
- place and date of birth.

The Applicant claims that the personal data listed above is not necessary for the enforcement of the claim, and therefore the Respondent violated the principle of data minimization.

(9) The Applicant stated the following in the supplementary submission sent via E-paper (NAIH-3772-5/2022) and summarized the content of the data subject's request, which contains the following text regarding the data subject's request:

"Dear [...]!"

"[...] I hereby request you and T. Client to kindly delete my previously provided personal data from your database; I hereby withdraw my previous consent to the storage of my personal data. [...]"

(10) The above text, according to the attached document, is dated September 1, 2021. The Applicant

sent their deletion request by postal mail to [...] ([...]). To support their claims, the Applicant attached a copy of the letter dated September 30, 2021, addressed to the Applicant from attorney [...] regarding the response letter (hereinafter: Response Letter), the delivery receipt, and a copy of the delivery confirmation with the identifier RL [...]. According to the copy of the delivery confirmation, the item was received on September 13, 2021, by [...].

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(11) The Response Letter details the Claimant's claim (its origin) and is partly related to the processing of the Claimant's personal data. Regarding the processing of the Claimant's personal data, the Response Letter contains the following:

(12) “[...] We process your personal data for the purpose of enforcing the claim, therefore we do not delete it based on the withdrawal of your consent, we cannot delete it. I note that in your letter you indicate that your address has changed, thus you are providing further personal data. [...]”

II.2. The Statement of the Respondent (NAIH-3772-7/2022.)

(13) [...] is a franchise network operated by the Client. Each franchise partner opens [...] an office based on a franchise agreement concluded with the Client. The franchise agreement regulates in detail the activities of each franchise partner, thus each partner is obliged to use the documents, forms, and IT systems specified by the Client, to follow the procedures determined by the Client, however, they act as independent economic entities. Individual real estate agents carry out their activities as sole proprietors or as employees of the company.

(14) The Claimant contacted the Respondent's office for the purpose of purchasing real estate, viewed a property, and signed the viewing certificate confirming this. The Claimant exchanged messages several times with the Respondent's employee, but it later turned out that they directly contacted the owner as well and concluded a purchase agreement with them, but did not inform the Respondent about this, contrary to the commitments made in the viewing certificate, thus the Respondent did not receive the penalty fee to which it was entitled. Following this, the Respondent took legal action, hiring a lawyer to enforce the claim arising from the breach of contract. In this process, the law firm contacted the Claimant and requested the payment of the penalty fee that the Claimant had also acknowledged and accepted in the viewing certificate. The Claimant disputed the Respondent's claim and requested the deletion of their personal data from the lawyer and the Respondent in a letter sent to the law firm. The lawyer, in the Response Letter, refused this in light of the ongoing proceedings.

(15) Regarding the Claimant, the Respondent processes the following personal data: name, mother's name, nationality, permanent residence, type and number of identification document, phone number, email address, place and date of birth, address of the viewed property, and the date of the viewing.

(16) The viewing certificate is read, interpreted, and, if necessary, an explanation is requested regarding its contents by the client intending to view the property before signing in every case, and then it is signed. The Claimant did the same. The certificate includes the data processing information, which names the data controllers, the purpose of data processing, and contains other elements defined in the GDPR. The information also states on which website the detailed data processing information can be accessed. The Claimant was able to familiarize themselves with the viewing certificate, read it, signed it, and received a copy of it.

(17) There was a court proceeding ongoing in the case under [...] number. To prove this, the Respondent attached a copy of the summons issued by the [...] District Court on March 21, 2022.

(18) According to the Respondent's statement, it is an independent data controller, thus it is not a joint data controller with the Client, which is also stated in its data processing information. The purpose and means of data processing are not jointly determined by the Client and the Respondent.

(19) However, contrary to the above, the Respondent also stated that it carries out its activities according to the specifications set by the Client, and the purpose of data processing, as well as the scope of the data, is determined by the Client. Moreover, the Respondent also referred to...

that the data processing is governed by the data processing information available on the Client's website: [...]

(hereinafter: Data Processing Information).

(20) The data of the data subjects is recorded in the IT system provided by the Client and is also stored securely in paper form. The content of the data processing related to property searches and viewing certificates is defined in sections 4.2. and 4.3. of the Data Processing Information.

(21) The purpose of processing the data listed on the viewing certificate – according to the information provided – is partly to identify the data subject, partly for communication, and partly, if necessary, to enforce claims. The processing of data related to citizenship is not justified; this will be deleted from the documents and the records by the Applicant in the future.

(22) Requests from data subjects are handled by the Applicant as stated in sections 6.1. and 6.2. of the Data Processing Information, and their legal representatives do not participate in the handling of such requests. In this case, the Applicant's letter was answered by their legal representative because the data subject sent it to them: the data subject had not previously approached the Applicant or the Client for information or deletion. The acting legal representative contacted the Applicant for the purpose of enforcing the claim according to the rules regarding legal activities, to which the Applicant responded. The Applicant attached a copy of the legal representative's mandate agreement and power of attorney.

(23) In the Applicant's opinion, the legal representative's response letter is inaccurate in that it does not elaborate on the purpose of data processing in detail, according to section 4.4. of the Data Processing Information and point d) of the information found on the viewing certificate.

II.3. The Client's Statements (NAIH-3772-14/2022., NAIH-3772-15/2022.)

II.3.1. The Client's Statement NAIH-3772-14/2022

(24) The Client presented in detail the franchise agreement established between the Applicant and the Client, and specifically highlighted that the Applicant cannot freely decide what content of the mandate agreement to conclude with the owners of the properties; they are obliged to use the form specified by the Client. At the same time, the Applicant conducts independent business activities, searches for marketable properties and buyers, and independently decides whether to assert a claim against the client who viewed the property – with the Applicant's assistance – or to initiate a lawsuit.

(25) In summary, the Client emphasized that the Applicant operates as an independent legal entity according to the system and documents defined by the Client, at their own risk.

(26) With reference to the above, the Client believes that the Applicant and the Client are joint data controllers, and the Applicant is an independent data controller concerning its own clients.

(27) The Client stated that the franchise agreement concluded with the Applicant is entirely a business secret and cannot be made public in any part.

(28) The Client attached the Data Processing Information to their statement, the essence of which regarding the identity of the data controller is as follows:

The data processing activities may be carried out by several persons, which include the following:

- the Client, who is the owner of the franchise system and the operator of the network,
- the so-called "franchise partner": a member of the franchise network that operates an office based on the franchise agreement concluded with the Client and conducts real estate brokerage activities.

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- the so-called "sub-franchise partner": a member of the franchise network that has a contractual relationship with the Client and conducts real estate brokerage activities in an office operated by the franchise partner.

(29) The Data Processing Information also states – in accordance with the declarations made by the Applicant and the Client – that the Client determines the forms, contracts, sales processes, and procedures to be followed in the event of a breach of contract during data processing.

(30) The Data Processing Information explicitly states the following in section 1.3:

“[...] Based on the above, the purpose, means, and rules of Data Processing are determined by [...]. The Partners process the data based on the contract concluded with the Data Subject or based on the consent of the Data Subject, considering that the Partners have a direct relationship with the Data Subject. Given that the purpose and means of data processing are not jointly determined by the Data Controllers, they do not qualify as joint data controllers. The data processing of each data controller is thus independent; however, most data processing activities are carried out based on the joint activities of the Data Controllers, so both [...] and the Partners qualify as data controllers. [...]”

(31) The Data Processing Information details the data processing related to the viewing certificate in section 4.3 as follows:

The scope of the processed data concerning the viewer is defined in section 3.4 a. and c. of the Data Processing Information, and it is also stated in the Data Processing Information that the data will be retained by the “Data Controller” for five years from the termination of the legal relationship. “The duration is justified by the fact that claims may be asserted after the termination of the legal relationship.”

(32) Contrary to the above, it is section 3.3, not 3.4, that lists the scope of the processed data according to data processing purposes, of which the following two purposes are relevant in the present case:

- “Data necessary for identification: family name and first name; birth name; place and date of birth; mother’s name; permanent address, or if unavailable, place of residence; type and number of identification document. The Data Processing Information particularly emphasizes in this regard that ‘Providing the data is mandatory in the case of contract conclusion or any other relationship that creates legal obligations (e.g., signing the viewing certificate); in the absence of this data, the contract cannot be concluded, considering that without the data, the performance of the contract and the assertion of claims arising from the contract are not possible.’”
- “Data related to claims: If a legal dispute arises between the Data Subject and the Data Controllers (especially if the Data Subject does not pay the fee or sells the property to a buyer referred by the Partners while circumventing the Partners), the Data Controllers process data regarding the legal basis and nature of the claim, as well as evidence that enables the assertion of the claim.”

(33) Section 4.4 of the Data Processing Information is titled “Assertion of Claims and Demands.” According to what is written in this section, the most common legal dispute is related to “circumvention,” when the Data Subjects establish a legal relationship bypassing the Applicant and the Client with the aim of being exempt from the obligation to pay fees. According to the Data Processing Information, franchise partners may authorize the Client to assert the claim; in this case, the Client acts as an agent, and they carry out joint data processing.

(34) The Data Processing Information contains a section titled: “Brief Presentation of the Balancing Test.”

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(35) The Data Processing Information contains information about the rights of data subjects in Section VI, but throughout it only mentions “Data Controllers,” thus it does not specify which of the three previously mentioned data controllers it refers to, namely whether it concerns the Client, the franchise partner, or the sub-partner.

II.3.2. The Client's statement NAIH-3772-15/2022

(36) The Client reiterated that the Requested data controller is not a data processor during its real estate brokerage activities. The Client further stated that it does not receive many data subject

requests, handling only a few each year. Therefore, they have not deemed it necessary to develop a detailed procedural order until now. In 2023, regardless of the outcome of the current procedure, they plan to develop a procedure for handling data subject requests.

(37) The Client sent the Authority its form titled "Viewing Certificate," which requires the following personal data to be provided: name, mother's name, nationality, permanent residence, type and number of identification document, phone, email, place and date of birth.

(38) The viewing certificate provides brief information under the heading "Data Processing" that the personal data is managed by the "Real Estate Agency" (in this case, the Requested) and the Client. It lists the purposes of data processing, including: communication, enforcement of claims. The information also contains a reference that if the "Data Subject" does not voluntarily comply, it will be enforced through legal means, and their personal data will be used for this purpose. The information mentions the rights of data subjects and indicates that a more detailed notice can be found on the Client's website, providing its access path.

II.3.3. The Requested's statements NAIH-1336-6/2023 and NAIH-1336-11/2023

(39) In the lawsuit between the Requested and the Applicant, the [...] District Court, by its judgment dated January 16, 2023, received by the legal representative on January 31, 2023, rejected the Requested's claim. The management and owners of the Requested decided to accept the first-instance judgment and will not file an appeal. Thus, if the Applicant does not file an appeal either, the judgment will become final.

Following the finalization of the judgment, if further continuation of the authority procedure is not necessary, the Applicant's data will be deleted.

(40) Following the above statement from the Requested, the Authority called upon the Requested to prove that the judgment has become final. The Requested, in its statement received by the Authority on June 22, 2023, submitted a copy of the judgment of the [...] District Court, in which the court rejected the claim of the Requested as the plaintiff, and the Requested also attached a copy of the [...] District Court's order, in which the [...] District Court established that the [...] judgment became final on February 16, 2023.

III. Applicable legal provisions

(41) The GDPR must be applied to the processing of personal data carried out in whole or in part by automated means, as well as to the processing of personal data that forms part of a filing system or is intended to form part of a filing system. According to Section 2 (2) of the Infotv., the GDPR must be applied with the supplements specified therein for data processing falling under the scope of the GDPR.

(42) According to Article 4(1) of the GDPR, "personal data" means any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier,

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for example, name, number, location data, online identifier, or one or more factors related to the physical, physiological, genetic, mental, economic, cultural, or social identity of the natural person;

(43) According to Article 4(2) of the GDPR, "processing": any operation or set of operations performed on personal data or sets of personal data, whether automated or not, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction;

(43) According to Article 4(7) of the GDPR, "controller": the natural or legal person, public authority, agency, or any other body which determines the purposes and means of the processing of personal data, alone or jointly with others; where the purposes and means of such processing are determined by Union or Member State law, the controller or the specific criteria for the designation of the controller

may also be provided for by Union or Member State law;

(44) According to Article 4(8) of the GDPR, "processor": the natural or legal person, public authority, agency, or any other body which processes personal data on behalf of the controller;

(44) According to Articles 12(1) to (6) of the GDPR:

(1) The controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, and all information referred to in Articles 15 to 22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, particularly when addressing children. The information shall be provided in writing or by other means – including, where appropriate, by electronic means. Upon request of the data subject, oral information may also be provided, provided that the identity of the data subject is otherwise verified.

(2) The controller shall facilitate the exercise of the data subject's rights under Articles 15 to 22. In the cases referred to in Article 11(2), the controller shall not refuse to act on a request from the data subject to exercise their rights under Articles 15 to 22, unless it can demonstrate that it is not in a position to identify the data subject.

(3) The controller shall provide the data subject with information on actions taken in response to a request under Articles 15 to 22 without undue delay and in any event within one month of receipt of the request. If necessary, taking into account the complexity of the request and the number of requests, this period may be extended by a further two months. The controller shall inform the data subject of any such extension within one month of receiving the request, together with the reasons for the delay. If the data subject submitted the request by electronic means, the information shall be provided by electronic means where possible, unless the data subject requests otherwise.

(45) According to Article 15(1) of the GDPR:

(1) The data subject has the right to obtain from the controller confirmation as to whether or not personal data concerning them is being processed, and, if that is the case, access to the personal data and the following information:

- a) the purposes of the processing;
- b) the categories of personal data concerned;
- c) the recipients or categories of recipients to whom the personal data have been or will be disclosed, including particularly recipients in third countries and international organizations;
- d) where applicable, the envisaged period for which the personal data will be stored, or, if that is not possible, the criteria used to determine that period;

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e) the data subject's right to request the rectification, erasure, or restriction of processing of personal data concerning them from the data controller, and to object to the processing of such personal data;

f) the right to lodge a complaint with a supervisory authority;

g) if the data has not been collected from the data subject, all available information regarding its source;

h) the fact of automated decision-making referred to in Article 22(1) and (4), including profiling, as well as at least understandable information on the logic involved in such cases and the significance of such processing, as well as the expected consequences for the data subject.

(46) According to Articles 26(1) – (3) of the GDPR:

(1) If the purposes and means of processing are jointly determined by two or more controllers, they shall be considered joint controllers. The joint controllers shall transparently determine in their arrangement the allocation of responsibilities regarding compliance with the obligations under this Regulation, in particular with regard to the exercise of the rights of the data subjects and the provision of information referred to in Articles 13 and 14, except in cases and to the extent that the allocation of liability among the controllers is determined by Union or Member State law applicable to them. The arrangement may designate a contact point for data subjects.

(2) The arrangement referred to in paragraph (1) shall reflect the roles of the joint controllers with respect to the data subjects and their relationship with them. The essence of the arrangement shall be made available to the data subjects.

(3) The data subject may exercise their rights under this Regulation in relation to and against each of the controllers, regardless of the terms of the arrangement referred to in paragraph (1).

(47) According to Article 28 of the GDPR:

(1) Where processing is carried out on behalf of the controller by another processor, the controller shall use only processors providing sufficient guarantees to implement appropriate technical and organizational measures in such a manner that processing will meet the requirements of this Regulation and ensure the protection of the rights of the data subjects.

(2) The processor shall not engage another processor without the prior written consent of the controller, whether general or specific. In the case of general written consent, the processor shall inform the controller of any intended changes concerning the addition or replacement of other processors, thereby giving the controller the opportunity to object to such changes.

(3) The processing by the processor shall be governed by a contract or other legal act under Union or Member State law that sets out the subject matter, duration, nature, and purpose of the processing, the types of personal data, the categories of data subjects, and the obligations and rights of the controller, which shall bind the processor to the controller. The contract or other legal act shall stipulate, in particular, that the processor:

a) processes the personal data only on the documented instructions of the controller, including with regard to the transfer of personal data to a third country or an international organization, unless required to do so by Union or Member State law applicable to the processor; in this case, the processor shall inform the controller of that legal requirement before processing, unless that law prohibits such information on important grounds of public interest;

b) ensures that persons authorized to process the personal data have committed themselves to confidentiality or are under an appropriate statutory obligation of confidentiality;

c) takes the measures required by Article 32;

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d) shall respect the conditions regarding the engagement of further data processors mentioned in paragraphs (2) and (4);

e) taking into account the nature of the data processing, shall assist the data controller with appropriate technical and organizational measures to the extent possible in fulfilling its obligation to respond to requests related to the exercise of the rights of the data subjects as set out in Chapter III;

f) shall assist the data controller in fulfilling its obligations under Articles 32-36, taking into account the nature of the data processing and the information available to the data processor;

g) after the completion of the data processing service, based on the decision of the data controller, shall delete or return all personal data to the data controller and delete existing copies, unless Union or Member State law requires the storage of personal data;

h) shall provide the data controller with all information necessary to demonstrate compliance with the obligations set out in this article, as well as information that enables and facilitates audits conducted by the data controller or another auditor appointed by the data controller, including on-site inspections.

In relation to point h) of the first subparagraph, the data processor shall promptly inform the data controller if it believes that any instruction from the data controller infringes this regulation or the data protection provisions of Member State or Union law.

(48) Pursuant to Article 58(2)(b) and (d) of the GDPR, the supervisory authority, acting within its corrective powers:

b) shall reprimand the data controller or the data processor if their data processing activities have violated the provisions of this regulation.

d) shall instruct the data controller or the data processor to bring their data processing operations into compliance with the provisions of this regulation - where appropriate, in a specified manner and within a specified time frame.

(49) According to Article 77(1) of the GDPR, without prejudice to other administrative or judicial remedies, every data subject shall have the right to lodge a complaint with a supervisory authority - in particular in the Member State of their habitual residence, their workplace, or the place of the alleged infringement - if the data subject believes that the processing of personal data concerning them infringes this regulation.

(50) According to Section 38(2b) of the Infotv., the Authority's tasks defined in paragraph (2) regarding personal data do not extend to the exercise of the powers defined in paragraph (3) in relation to data processing operations carried out by the court in the context of litigation and non-litigation procedures aimed at making a judicial decision, based on the relevant provisions.

(51) According to Section 60(1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure at the request of the data subject and may also initiate a data protection authority procedure ex officio.

(52) According to Section 61(6) of the Infotv., until the expiration of the deadline for initiating a lawsuit against the decision or, in the case of administrative litigation, until the court's final decision, the disputed data related to the data processing cannot be deleted or rendered invalid.

(53) According to Section 71(1) of the Infotv., during its proceedings, the Authority may process all personal data, as well as data classified as protected secrets by law and professional secrecy, that are related to the proceedings or whose processing is necessary for the successful conduct of the proceedings, to the extent and duration necessary for conducting the proceedings.

(54) According to Section 1(1) of Act LIV of 2018 on the Protection of Business Secrets (hereinafter: Business Secret), a business secret is information related to economic activities that is secret - not publicly known in its entirety or as a collection of its elements, or not easily accessible to persons conducting the relevant economic activities - and thus has economic value.

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such fact, information, other data, and the compilation made thereof, for which the holder of the secret demonstrates behavior that is generally expected in the given situation in order to maintain confidentiality.

IV. Decision:

IV.1. The personal data of the Applicant stored by the Respondent, the data processing carried out on them, the data controller and data processor status concerning the data processing recorded in the viewing certificate

IV.1.1. Personal data and its source

(55) According to Article 4(1) of the General Data Protection Regulation, the Applicant's name, mother's name, nationality, address, identification document number, phone number, email address, place and date of birth qualify as personal data of the Applicant, the storage and use of which constitutes data processing under Article 4(2) of the General Data Protection Regulation.

(56) The source of the aforementioned personal data is the Applicant, as this data was provided to the Respondent through the so-called viewing declaration. The use of the viewing declaration as a form was made mandatory for the Respondent by the Client, as the franchise owner.

IV.1.2. Data processing operations carried out on the Applicant's personal data – examined in the current procedure

(57) The recording, storage, and transmission of the data indicated in the viewing certificate are also considered data processing under Article 4(2) of the General Data Protection Regulation. In the current data protection authority procedure, the Authority specifically examined the data processing related to the recording of these personal data, and separately the data processing concerning the transmission of these personal data by the Respondent for claims management purposes. The Authority made findings regarding the latter data processing operation in point IV.2.

IV.1.3. Data controller and data processor established concerning the data processing related to the recording of the Applicant's personal data as per point IV.1.1.

(58) The concept of data controller is defined in Article 4(7) of the GDPR, and the concept of data processor is defined in Article 4(8) of the GDPR. According to Article 4(7) of the GDPR, a data controller is a natural or legal person [...], which determines the purposes and means of the processing of personal data, either alone or jointly with others [...]. According to the same Article 8, a data processor is a natural or legal person [...], which processes personal data on behalf of the data controller.

(59) The Data Processing Information compiled by the Client regarding the Respondent's data processing also records – in accordance with the statements made by the Respondent and the Client – that the Client determines the forms, contracts, sales processes, and procedures to be followed in case of breach of contract applied during the data processing. The Data Processing Information explicitly states, as elaborated in paragraph (30) of this decision in point 1.3, that the purpose, means, and rules of the data processing are determined by the Client, while it also records that the purpose and means of the data processing are not jointly determined by the data controllers (i.e., the Respondent and the Client) and do not qualify as joint data controllers. The Data Processing Information refers to the fact that the individual data controllers (in this case, the Respondent and the Client) thus carry out their data processing independently, while most data processing activities are carried out based on the joint activities of the data controllers.

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(60) In the Authority's opinion, the above information is quite contradictory, and it is also contradictory that the Client determines all forms, meaning that the Applicant has no say in this matter, yet is still an independent data controller in every respect.

(61) The European Data Protection Board's Guidance No. 07/2020 (hereinafter: Guidance), which discusses the concepts of data controller and data processor under the GDPR, further details the circumstances under which we can speak of joint data processing. On page 3 of the Guidance, regarding the essence of joint data processing, it states: “[...] An important aspect is that data processing is not possible without the participation of two parties in the sense that the data processing carried out by each party is inseparable, meaning that they are inextricably linked. Joint participation must include, on the one hand, the determination of the purposes and, on the other hand, the means. [...]”

(62) The Applicant cannot be considered an independent data controller; however, neither can the Applicant and the Client be considered joint data controllers in relation to the data processing associated with the viewing certificate, since the Client determined the content of the data, and the data processing occurs in accordance with what is stated in the Data Processing Information prepared by the Client. This follows from the operational principles of the franchise system, as within this framework, every aspect of the Applicant's activity – and the related data processing – is regulated in detail. The documents used within the franchise system, including the viewing certificate, contain references to the franchise system, indicating that the partners carry out their activities according to the specifications determined by the Client. The viewing certificate form includes the name and logo of the Client, while the name of the franchise partners appears only to the extent that the client states that they became aware of the property through XY Real Estate Agency. The viewing certificate is not a document required by law; its design and content are solely at the discretion of the data controller, in this case, the Client.

(63) According to point 11.6 of the franchise agreement submitted as an annex to document (NAIH-3772-7/2022), the Client can delete data from its system, to which the Applicant is granted access, and into which the Applicant can enter data.

(64) On page 4 of the Guidance, it is also stated: “[...] The qualification as a data processor has two fundamental conditions: a separate organization from the data controller, and processing personal data on behalf of the data controller. The data processor cannot process the data in a manner contrary to the instructions of the data controller. The instructions of the data controller still provide a certain degree of discretion regarding how to best represent the interests of the data controller, allowing the

data processor to select the most appropriate technical and organizational measures. [...]” The Applicant actually processes the data on behalf of the Client, as it cannot make any data controller decisions regarding them, except for the decision to collect the service fee. The Applicant made this decision and forwarded the personal data of the Applicant to its lawyer for the purpose of enforcing the claim. Therefore, the Applicant enforces the fee in its own name; this is the Applicant's claim. In this case, the criterion of a separate organization is also met, as the Client and the Applicant are two separate legal entities. In this regard, the Applicant is an independent data controller in this case. However, this is not always the case according to point 4.4 of the Data Processing Information, based on what is stated in paragraph (33) of this decision.

(65) For the above reasons, the Authority considers the Client to be the data controller and the Applicant to be the data processor regarding the handling and recording of the data provided by the Applicant on the viewing certificate, for the period during which the Applicant does not independently decide on the further use of the data for other purposes, meaning that it does not process them for claim management purposes. Any further data processing operation on these personal data, i.e., the processing of these personal data for claim management purposes (storage, as well as [...] to the District Court).

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transmission – in connection with litigation – is subject to a different assessment as outlined in point IV.2.

IV.2.

The

Applicant's

personal

data

processed

by

the

Respondent

for

debt collection and claim enforcement purposes

IV.2.1. Legitimate interest as a legal basis

(66) The Respondent is a legal entity separate from the Client. Its independent legal personality implies that the Respondent may have claims against other individuals, thus the Respondent can be considered a data controller in this capacity, as it can decide whether to take steps to enforce the given debt. This is also indicated by the viewing certificate, which states that the real estate agency is authorized to instruct the Client to pursue the claim. The economic decisions of independent legal entities, including claim enforcement, are independent. Therefore, while the franchise system may stipulate how the Respondent should conduct its real estate brokerage activities using the name of the franchise system, its financial management is independent of this. Thus, as long as the personal data recorded on the viewing certificate is not used for claim enforcement purposes, the Respondent qualifies as a data processor, but once the data processing for claim enforcement begins, the Respondent becomes a data controller from that point onward.

(67) Based on the above, as long as the Respondent maintained a claim against the Applicant for which the Applicant did not submit a court decision establishing that it does not exist, the Respondent had a legitimate interest in processing data, particularly considering that legal proceedings were ongoing. The legitimate interest in relation to the Applicant's personal data – personal identification data, as well as data related to the claim – and the processing of the necessary data for enforcing the claim, as per Article 6(1)(f) of the GDPR, existed against the Applicant until a final judgment established that the claim does not exist. Therefore, the Respondent lawfully processed (stored and transmitted to the court) the Applicant's personal data for the purpose of enforcing its claim.

(68) According to the Respondent's statement, it will delete the Applicant's personal data after the judgment rejecting its claim becomes final, provided that it is not necessary for the current administrative procedure. After the judgment becomes final, the Applicant's personal data can only be processed by the Respondent and the Client based on their legitimate interest in relation to the current administrative procedure, and not for claim enforcement purposes.

(69) At the Authority's request, the Respondent submitted the court's final judgment and the ruling on the finality concerning the lawsuit initiated with reference to the Respondent's existing claim. Accordingly, the court rejected the Respondent's claim, and therefore, after the judgment became final (since February 16, 2023), the Respondent can no longer process the Applicant's personal data based on its legitimate interest for debt collection purposes.

(70) In light of the above, the Authority granted the Applicant's request and ordered the Respondent to delete the Applicant's personal data from its records for claim purposes.

IV.2.2. Balancing of interests

(71) According to the preamble (47) of the GDPR, in order to establish the existence of a legitimate interest, it is essential to carefully examine, among other things, whether the interests and fundamental rights of the data subject may take precedence over the interests of the data controller when personal data is processed under circumstances where the data subjects do not...

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are considered for further data processing. However, the balancing of interests, as established in paragraph (70) of this decision, is no longer relevant after February 16, 2023, thus it only applies to data processing conducted until February 16, 2023.

(72) According to the Authority's findings, the statement regarding the priority of the Applicant's legitimate interest does not specifically relate to the personal data of the Applicant; rather, it makes very brief general statements regarding the legitimate interest. Furthermore, it does not address the circumstances mentioned in the GDPR (47) preamble. The Applicant did not identify the interests of the data subjects and did not compare them with the interests of the data controller, nor was there an examination or substantiation of the necessity and proportionality of the data processing. As part of the submitted Data Processing Information, the "Brief Presentation of the Balancing Test" emphasizes that if the data subject does not voluntarily meet the requirements of the data controllers, there is no other way to achieve the objective, and that personal data necessary for the enforcement of the requirements is processed.

(73) According to the Authority's findings, the statement regarding the priority of the Applicant's legitimate interest does not specifically relate to the personal data of the Applicant; rather, it makes very brief general statements regarding the legitimate interest. Furthermore, it does not address the circumstances mentioned in the GDPR (47) preamble. The Applicant did not identify the interests of the data subjects and did not compare them with the interests of the data controller, nor was there an examination or substantiation of the necessity and proportionality of the data processing. Given that the Applicant only made general statements regarding their legitimate interest, they completely failed to conduct the balancing of interests concerning the Applicant, and their general statements cannot be considered sufficient, as they do not meet the requirements of the GDPR (47) preamble.

(74) For the above reasons, it can be established that the Applicant did not fulfill their obligation under Article 5(2) of the GDPR.

(75) In the Authority's view, regarding the following personal data – until February 16, 2023 – the legitimate interest of the data controller existed, and its priority was justified, as the scope of personal data necessary for the enforcement of legal claims can be established based on statutory provisions as follows:

- According to point 3 of Section 7 of Act CXXX of 2016 on Civil Procedure (hereinafter: Pp.), the identifying data for a natural person includes: residence (or place of stay in the absence of a

residence), delivery address (if different from residence or place of stay), place and date of birth, and mother's name.

- According to point b) of paragraph (1) of Section 170 of the Pp., the introductory part of the statement of claim must include the names of the parties, their procedural positions, the identifying data of the claimant, the known identifying data of the defendant, at least their residence, and based on point e) of paragraph (2), the evidence, which in this case includes the documents supporting the claim. This list is supplemented by point 1.4 of Annex 1 of Government Decree 21/2017 (XII.22.) on forms applicable in civil and administrative court proceedings, which includes the defendant's birth name.

- According to point a) of paragraph (1) of Section 20 of Act L of 2009 on Payment Order Procedures, among the personal data of debtors, the initiation of the payment order procedure requires the name of the obligor, their identifying data according to the Pp., or at least their residence.

- Sections (2)-(3) of Section 11 of the Act on Enforcement (Vht.) specify which personal data the applicant for enforcement is obliged to provide when submitting the enforcement request. These data include: the name of the debtor, the data necessary for their identification (place of birth, date, mother's name).

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depending on the circumstances of the case, the debtor's residence, workplace, and the location of the asset subject to enforcement, as well as in the case of real estate enforcement, the real estate registry data.

(76) The Respondent could process the Applicant's personal data listed above until February 16, 2023, for the purpose of debt collection and for the enforcement of legal claims, referring to Article 6(1)(f) of the GDPR. At the same time, the Respondent also processes data regarding the Applicant's citizenship, email address, document identifier, and phone number, which were not necessary for the enforcement of legal claims under the aforementioned regulations. The Respondent also acknowledged the unnecessary nature of the data regarding citizenship, stating that the processing of citizenship data is not justified, and that it will delete this data from its documents and records in the future.

(77) In light of the above, the Authority finds a violation of Article 5(1)(c) of the GDPR regarding the processing of citizenship, document identifier, email address, and phone number, while rejecting the Applicant's request regarding the other personal data, stating that the Authority should determine a violation of the principle of data minimization. At the same time, the Authority obliges the Respondent to process the Applicant's personal data only in connection with the current data protection authority procedure, and not for debt collection purposes, considering the judgment of the District Court [...] number.

IV.3. Preliminary Information

(78) The Respondent stated that the client reads the viewing certificate in every case before signing, interprets it, requests an explanation if necessary regarding its contents, and then signs it, which the Applicant also did. The certificate includes the data processing information, which names the data controllers, the purpose of data processing, and contains other elements defined in the GDPR. The information also states which website the detailed data processing information is available on. The Applicant was able to familiarize themselves with the viewing certificate, read it, signed it, and received a copy of it.

(79) There was a legal proceeding ongoing between the Applicant and the Respondent. Regarding the data processing related to the legal proceeding, the Authority established in point IV.2.1. that the data processing based on legitimate interest was lawful concerning the Applicant's specified personal data until the final closure of the legal proceeding.

(80) If personal data concerning the data subject is collected from the data subject, the data controller must provide detailed information to the data subjects at the time of obtaining the personal data for the

purpose of fair and transparent data processing, as stated in Article 13(1) of the GDPR.

(81) The GDPR preamble (39) stipulates that the information regarding data processing must be transparent and made available to the data subjects in an appropriate manner (e.g., on the data controller's website), taking into account any additional conditions of the chosen legal bases.

(82) Article 12 of the GDPR defines the formal requirements that data controllers must consider when enabling the exercise of data subject rights, including the prior information of data subjects. Accordingly, data controllers must provide all information regarding the processing of personal data in a concise, transparent, intelligible, and easily accessible form, clearly and in plain language.

(83) According to the Applicant's position, it does not comply with the GDPR "Article 7(2)", which states that if the data subject gives consent in the context of a written declaration that relates to other matters, the request for consent must be presented in a manner clearly distinguishable from those other matters, in an intelligible and easily accessible form, using clear and plain language. The data processing information was presented in particularly small font size, with narrow line spacing.

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(84) The consent given on the viewing certificate pertains to two separate purposes, as the information indicates that consent is granted regarding the personal data listed therein, which may be processed for the purposes of viewing and asserting claims, should that occur. This was also the case for the Applicant.

(85) The Authority agrees that the font size on the viewing certificate is quite small; however, the link to the website is also included, and the font size of the data processing information available at the provided link is standard. Furthermore, the Authority believes that the text on the viewing certificate is unstructured and not segmented, thus failing to meet the requirement for transparent information. According to point 71 of the European Data Protection Board's Guidelines 5/2020 on consent under Regulation (EU) 2016/679, "[...] In order to adapt to small screens or situations where there is little space for information, it may be considered – in order to avoid excessive disruption of the user experience or product design – to present information in a multi-layered manner." Therefore, in the Authority's view, it could be resolved either through multi-layered information or simply by expanding the one-page viewing certificate to a two-sided format to ensure it is adequately readable.

(86) For the above reasons, the Authority finds that the Respondent did not provide adequate information regarding its independent data processing for the purpose of asserting claims, and therefore violated Article 12(1) of the GDPR.

IV.4. Deletion request submitted by the Applicant to the Respondent's lawyer

(87) The Applicant sent a request addressed to the Respondent and the Respondent's legal representative, [...] attorney (hereinafter: Attorney). In the request, the Applicant did not contest the response given to the request nor did they request an examination of the Attorney's data processing, and therefore the Authority did not investigate it.

IV.5. Decision on business secrecy

(88) The publication of the franchise agreement concluded between the Respondent and the Client is not mandated by either the General Data Protection Regulation or sector-specific legislation; therefore, the Client may treat it as a business secret based on its own decision. In this regard, the Authority grants the Client's request and treats the franchise agreement concluded between the Respondent and the Client as a business secret pursuant to Section 27(2) of the Administrative Procedure Act.

IV.6. Violations beyond the Applicant's request

(89) The current case was conducted concerning the Applicant's request regarding the Applicant, and a separate procedure may be initiated ex officio regarding the general practices of the Client and the Respondent due to the detected violations.

IV.7. Legal consequences

(90) The Authority found the Respondent and the Client in violation of Article 5(1)(c) and Article 12(1) of the GDPR, and additionally found the Respondent in violation of Article 5(2) of the GDPR, based on point b) of Article 58(2) of the GDPR.

The Authority instructed the Respondent, based on point d) of Article 58(2) of the GDPR, to delete the personal data listed in point I.2 of the Applicant and to confirm that the deletion has taken place.

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(91) The Authority has exceeded the administrative deadline set forth in Section 60/A (1) of the Infotv., therefore the Applicant is entitled to 10,000 HUF, that is, ten thousand forints – at their choice – via bank transfer or postal money order based on Section 51 (1) b) of the Ákr.

V. Other Questions:

(92) The Authority's jurisdiction is defined by Section 38 (2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(93) The decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication based on Section 82 (1) of the Ákr. According to Section 112 and Section 116 (1), as well as Section 114 (1) of the Ákr, there is a right to legal remedy against the decision through administrative litigation.

* * *

(94) The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12 (1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13 (3) a) aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27 (1) b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39 (6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the validity of the administrative act.

(95) Section 29 (1) of the Kp. and in this regard, Section 604 of the Pp. applies, according to which, based on Section 9 (1) b) of Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services (hereinafter: E-ügyintézési tv.), the client's legal representative is obliged to maintain electronic communication.

(96) The time and place for submitting the statement of claim are determined by Section 39 (1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77 (1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A (1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the proceedings is exempt from the prior payment of the fee under Section 59 (1) and Section 62 (1) h) of the Itv.

(97) The Authority has exceeded the one hundred and fifty-day administrative deadline set forth in Section 60/A (1) of the Infotv. during the proceedings, therefore, based on Section 51 b) of the Ákr., it will pay ten thousand forints to the Applicant.

Dated: Budapest, according to the electronic signature

Dr. habil. Attila Péterfalvi

President, Associate Professor in absence

Dr. Tamás Bendik

Vice President